

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

NETCYCLE TRADING CORP., *REVOCATION OF OCEAN
TRANSPORTATION INTERMEDIARY LICENSE No. 021597NF*

DOCKET NO. 24-15

Served: March 22, 2024

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge.*

NOTICE AND INITIAL ORDER

On March 21, 2024, the Secretary of the Federal Maritime Commission (“FMC” or “Commission”) issued a Notice of Hearing Request and Assignment (“Notice”) noting that on March 8, 2024, the FMC’s Bureau of Certification and Licensing (“BCL”) had notified Netcycle Trading Corp. (“Netcycle Trading”) that the Commission intended to revoke Netcycle Trading’s ocean transportation intermediary (“OTI”) license. The Secretary also noted that on March 19, 2024, Netcycle Trading submitted a request for hearing on the proposed revocation of its license pursuant to the Commission’s Rules at 46 C.F.R. § 515.17 and 46 C.F.R. Part 502, Subpart X. In accordance with the provisions of Subpart X’s Rule 702(a), the Secretary assigned this proceeding to the Office of Administrative Law Judges for adjudication. 46 C.F.R. § 502.702(a).

Pursuant to Rule 702(b), BCL and the Commission’s Office of Enforcement (“OE”) are hereby notified of Netcycle Trading’s hearing request, “and [OE] must file with the administrative law judge and serve on [Netcycle Trading] a copy of the notice given to [Netcycle Trading] and a copy of BCL materials supporting the notice.” 46 C.F.R. § 502.702(b). The notice and supporting materials should be organized in an appendix as outlined below. In addition, OE may file a brief with legal arguments, proposed findings of fact, or additional information, including requests for confidential treatment. This filing is due by April 16, 2024.

After OE files the materials described above, Netcycle Trading will be notified of its right to respond in support of continuation of its OTI license. 46 C.F.R. § 502.703. Netcycle Trading should be prepared to respond within thirty days and to provide a brief with legal arguments, proposed findings of fact, additional information, and any requests for confidential treatment as well as an appendix with supporting documents.

In addition, the parties must abide by the following additional instructions:

ADDITIONAL INSTRUCTIONS

Filing

1. Information regarding where to find the Commission's rules of practice and procedure (46 C.F.R. § 502), Commission decisions, and other information helpful for parties may be found in the reading room section of the Commission's website, <https://www2.fmc.gov/readingroom>.
2. Parties should review the Commission's Rules regarding hearing procedures governing revocation of an OTI license, 46 C.F.R. Part 502, Subpart X, including Rule 709 which outlines the other rules applicable to this proceeding, including filing requirements, computation of time, service, etc.
3. Service of the rulings, orders, and decisions in this proceeding will be by email. Parties must notify the Commission of any change of service email address.
4. *Ex parte* communication (communication not in the public record) is prohibited pursuant to Rule 709 which states that Rule 11 applies to this proceeding. The decision issued shall be based on the filings made in this proceeding which will be available to all parties.
5. Parties shall file documents with the Office of the Secretary via email to secretary@fmc.gov. In addition to filing with the Secretary, the parties should courtesy copy the presiding judge via email at judges@fmc.gov and should copy the other party. No party may directly contact the presiding judge.
6. All filings and all attachments must have page numbers or they may be rejected.
7. *Attachments.* When documents are attached to a filing, as far as practicable, the exhibits should be in one PDF document. The PDF should have unique, sequential page numbers (Bates numbers). Each separate exhibit should be clearly identified, for example by a cover sheet or bookmark. A table of contents should indicate what the exhibit is and the page where it starts.
8. *Case citations.* Because the Commission currently uses Westlaw, citations to judicial opinions on Lexis should include a parallel citation, if possible. Citations to Commission decisions or rulings may be made to the official F.M.C. reporters including F.M.C.2d, Pike & Fischer Shipping Regulation Reports (S.R.R.), Westlaw, or Commission slip opinions or orders by docket number, title, and date of service. If a document from another source is cited, the decision or ruling must be transmitted via e-mail to judges@fmc.gov.
9. *Extensions.* If a party needs an extension of a deadline, they should confer with the other party to determine whether there is any opposition to the relief sought. Requests for extension should follow the procedure for non-dispositive motions found at Rule 502.71 and responses to requests for extensions should be filed promptly. 46 C.F.R. § 502.71.

Discovery

10. The parties are reminded of their obligation to ensure preservation of all relevant evidence, including electronically stored information. *Zhi Chen v. District of Columbia*, 839 F. Supp. 2d 7, 12 (D.D.C. 2011); *The Pension Comm. of the Univ. of Montreal Pension Plan v. Banc of America Securities, LLC*, 685 F. Supp. 2d 456 (S.D.N.Y. 2010); *Zubulake v. UBS Warburg LLC*, 220 F.R.D. 212 (S.D.N.Y. 2003).
11. The Administrative Law Judge issues decisions based only on the record in the proceeding. See 5 U.S.C § 556(e). If there is information available in a different office at the Commission that a party wants considered, it is the party's obligation to provide that information.

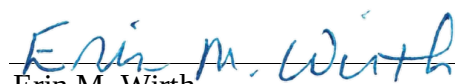
Confidential Material

12. *Stipulation* – The parties may agree and stipulate between themselves regarding treatment of confidential documents and information obtained during discovery that is not filed with the Commission. The parties may, but are not required to, file a courtesy copy of the agreement with the Commission.
13. *Use in the proceeding* – If confidential information is filed in a memorandum or as an exhibit to a dispositive motion or as part of briefing on the merits, it must be accompanied by a motion justifying confidential treatment. This motion must identify each item for which protection is sought and show good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information. 46 C.F.R. § 502.141(j)(1). The burden is on the party seeking to protect the information to show good cause for its protection.
14. *Filing* – Parties should file two versions of confidential filings marked as the “confidential version” and the “public version.” The confidential version may be provided to the Presiding Officer by email but should not be filed with the Office of the Secretary by email pursuant to Commission Rule 5. 46 C.F.R. § 502.5.
15. *Marking confidential material* – In the confidential version, confidential information must be conspicuously and clearly marked on each page, for example by highlighting or braces. The public version must indicate on the cover page and on each affected page “Public version – confidential materials excluded.” The public version must clearly indicate any omissions, for example with blackout or braces, and its pagination and depiction of text on each page must be identical to that of the confidential version. For example, the confidential filing may read: “On January 1, 2010, Complainant entered into a {25} year lease with respondent for a monthly rent of {\$1000}.” The public version would read: “On January 1, 2010, Complainant entered into a { } year lease with Respondent for a monthly rent of { }.”
16. *Exhibits* – Confidential information in exhibits should be marked as above. If marking within the text is not feasible, individual pages may be replaced in the public version with a page indicating that confidential material was excluded. Entire exhibits should not be excluded, only those pages containing confidential material.

17. *Personal information* – Personally identifiable information such as social security numbers, birth dates, and financial account numbers must be redacted pursuant to Commission Rule 13. 46 C.F.R. § 502.13.

Brief and Appendix

18. **[Party's] Brief and Proposed Findings of Fact.** Each party shall file a brief meeting the requirements of Commission Rule 214, 46 C.F.R. § 502.214. The parties should include all arguments relevant to their claim, including arguments that have been made previously. Proposed findings of fact shall be provided in numbered paragraphs. Each factual proposition shall be followed by a citation to a specific, unique page number in the appendix with the evidence that the party contends will support the proposed finding of fact.
19. The parties shall send a courtesy copy of their Brief in a word-processing format (such as Word) to the Office of Administrative Law Judges at *judges@fmc.gov* with the other party copied. Word processing versions should not be submitted to the Office of the Secretary.
20. **[Party's] Appendix.** The evidence on which a party's proposed findings of fact or response to another party's proposed findings of fact is based shall be included in an appendix—a separate document that collects one copy of all documents relevant to the proceeding.
21. The cover of the appendix shall identify the party or parties that prepared the appendix. The appendix must begin with a table of contents identifying the page at which each individual document begins.
22. Each page in the appendix shall be numbered sequentially, for example: Complainant Exhibit or CX- 1, CX- 2, or Respondent Exhibit or RX- 1, RX- 2, etc. Contact the Office of the Secretary if the appendix is too large to email.
23. Each party shall ensure that all documents in its appendix are legible and in English or include a verified translation as required by Rule 7 (*see* 502 C.F.R. § 502.7).
24. The parties must cite to a document in an appendix already in the record rather than include the same document in its own appendix. For instance, if Respondent contends that a document included in Complainant's appendix rebuts the evidence Complainant claims supports a proposed finding of fact, Respondents shall cite to Complainant's appendix rather than include a second copy of the same document in its appendix.


Erin M. Wirth
Chief Administrative Law Judge